J. P

FIN 418

INTERNATIONAL BUSINESS FINANCE

MAJOR INTERNATIONAL FINANCIAL INSTITUTIONS

LEARNING OBJECTIVE
The major international financial institutions -the World bank group (IBRD, IDA, IFC and IMF, AfDB, Paris Club and London Club are comprehensively discussed.

THE 1944 BRETTON-WOOD (U.S.A.) MEETING

The Second *World War* had disastrous consequences in most European countries. Most of the industrial centres in Europe were damaged and excessive imports and borrowings to prosecute the war led to prolonged deficits in the balance of payment accounts of most of the countries.

A meeting was held in *Bretton-Wood*, U.S.A. in 1944 to find solutions to these problems and at the end of this meeting, two institutions emerged:

i) The International Bank for Reconstruction and Development (IBRD) which, as the name implies, was to provide fund for reconstructing economies of member countries and for development purposes. The IBRD, when combined with its allied institutions like International Development Association (IDA), etc. is now known as the World Bank (or simply *"the Bank"*).

ii) The International Monetary Fund (the IMF or the *"Fund"*) was to see to the solution of the balance of payment problems of member countries and ensure smooth international payment mechanism.

A country deciding to join one of the two organisations must join the other.
By 1945, the agreement for the establishment of these institutions had received sufficient ratification and both of them commenced operation on 27th December 1945 as specialized agencies of the U. N. O.
According to A.G. Chandavarkar,

THE WORLD BANK GROUP

The World Bank Group consists of three financial institutions:

1. The International Bank for Reconstruction and Development (IBRD)
2. The International Development Association (IDA) and
3. The International Finance Corporation (IFC).

The three institutions have the common aim of assisting developing countries in raising the standard of living of their citizens by providing funds for long-term developmental programmes

INFINIX HOT 9
AI QUAD CAMERA

for the welfare benefits of the citizens of those countries.

The objectives for setting up the World Bank include the following:

1. Assist in the reconstruction and development of the territories of members by facilitating investment of capital for productive purposes.
2. Promote long-range balanced growth of International trade and the maintenance of equilibrium in the balance of payments by encouraging international investment for the development of the productive resources of member countries.
3. To promote long-range balanced growth of international trade and the maintenance of equilibrium in the balance of payments by encouraging international investment for the development of the productive resources of member countries.
4. Ensure in so far as it makes or guarantees loans, that the most urgent needs are satisfied first.

THE INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT (IBRD)

The International Bank for Reconstruction and Development (IBRD) was established in 1945 after the famous *Bretton Woods Conference.*

The capital of IBRD is obtained from the subscriptions from member nations. The IBRD started operation with these funds and during the initial period, its attention was focused on the provision of funds to rehabilitate and reconstruct the damaged economics of the European countries. By 1950's however economic recovery in Europe was visible but progress was yet to be recorded in most developing countries. The attention of the IBRD later shifted from reconstruction to development. However, despite the apparent need, the less developing countries have not been able to attract sufficient fund from the IBRD because of the stringency of the bank's credit requirement. The bank's position credit wise has thus not been as good as that of commercial banks.

THE INTERNATIONAL DEVELOPMENT ASSOCIATION (IDA)

The *International Development Association (IDA)* was established in 1960 as a concessionary institution specifically to provide financial support to the less developed countries, which because of debt servicing costs cannot borrow on conventional terms. The IDA could lend for up to 30 to 50 years with up to 10 years moratorium and the loans are interest free. Membership of the association is open to all members of the World Bank.

THE INTERNATIONAL FINANCE CORPORATION (IFC)

The *International Finance Corporation (IFC)* was established in July 1956 as an affiliate of the World Bank to promote the growth of *productive investment* and to assist enterprises that will contribute to the economic development of its developing member countries. The objectives of the Corporation are incorporated into its Articles of Agreement.

INTERNATIONAL MONETARY FUND (IMF)

...International Monetary Fund (IMF) is an intergovernmental monetary and financial ...ization comprising 148 member countries (as of September 1984) that are also its sole ...ers. It is unique among intergovernmental organisations in its combination of regulatory, ...itive and financial functions.

...olicies and activities are guided by its charter known as the *Articles of Agreement."*

...les of the **IMF** charter set out its aims as follows:

Promotion of international monetary co-operation;
The expansion and balanced growth of international trade, i.e., to ensure that payment does not constitute an impediment to trade.
The promotion of exchange rate stability;
Maintenance of high levels of unemployment and real income in member countries through gains from trade and necessary assistance;
The encouragement of friction-free exchange arrangement – through assisting in ensuring easy convertibility of currency;
The avoidance of retaliatory or competitive devaluation of currency;
Providing assistance to a country in solving balance of payment problems, e.g. through provision of advice on fundamental re-structuring of the economy.
Reduction in balance of payment problems;
Maintenance of surveillance over exchange rate policies;
Avoidance of discriminatory currency practices (Article 4, Section 3);
Creating a reserve base for members;
Establishment of multi-lateral payment system.

"Fund", unlike the *"Bank"*, is not a developmental institution and as such, it does not ...money for developmental purposes. It therefore does not have the benefit of financing ...e programmes through which its loans could be repaid. Since it is not per se an 'aid' ...ution and it does not lend for developmental purpose, its facilities are usually strict.

...Keynes rationalized the position of the IMF as follows:

> "This is not a Red Cross philanthropic relief scheme.
> It is a piece of highly necessary business mechanism
> which is at least as useful to the creditor as to the debtor."

Nigeria joined the IMF in 1961.

...SPECIAL BORROWING FACILITIES AT THE IMF ARE:

i) The Extended Credit Facility (ECF)
ii) The Standby Credit Facility (SCF)

iii) The Rapid Credit Facility (RCF)
iv) Stand-By Arrangements (SBA)
v) Flexible Credit Line (FCL)
vi) Extended Fund Facility (EFF)
vii) Buffer Stock Facility
viii) Temporary Oil Facility
ix) Standard of living improvement facility
x) Enlarged Access Policy

THE AFRICAN DEVELOPMENT BANK (ADB)

Established with the assistance of the *Organisation of African Unity (OAU)*, the *Economic Commission for Africa (ECA)* on 4th August 1963 with its headquarters in Abidjan, Cote D'Ivoire.

All independent African countries are free to become members of the ADB.

The institution is best described as the *"African World Bank Group"* in that the group performs the role of the *World Bank Group* to the African region. While *African Development Bank* can be likened to the *International Bank for Reconstruction and Development (World Bank)* the *African Development Fund (ADF)* can be likened to the *International Monetary Fund (IMF)*

The objectives of establishing the bank among others, include the need to:

(a) Render financial assistance to African countries in need of funds to finance development projects.
(b) Encourage regional cooperation in the areas of finance among African countries.

The functions of the ADB include the following:

(a) The Bank provides assistance in the selection and detailed studies of projects it hopes to finance.
(b) The Bank provides finance for those projects which foster African cooperation in the areas of infrastructures, trade and regional development.
(c) The Bank undertakes such activities that may further the objectives of establishing it.

PARIS CLUB

Representing government-guaranteed creditors, the club is funded and made up of 19 member nations:- Australia, Austria, Belgium, Canada, Denmark, Finland, France, Germany, Israel, Italy, Japan, Netherlands, Norway, Russia, Spain, Sweden, Switzerland, United Kingdom and United States of America.

These nineteen countries guarantee the export activities of their nationals, through their

l export credit agencies. When the recipient nation's government is unable to pay the n exchange equivalent of the domestic currency cover paid to the importer, it becomes iment debt owed to creditor nations.

LONDON
DON CLUB

ostly a private sector based creditors organisation. These are mainly uninsured and anteed debts extended by their commercial banks to nationals of debtor nations. bers of the club are commercial banks mainly in industrialised countries.

AFRICAN
CAN EXPORT-IMPORT BANK (AFREXIM)

nk was estabilised in 1993 and it is owned by a number of Institutions and individuals ng Central Banks of each African nation, the African Development Bank, African reign institutions as well as private companies. The Bank's Headquaters is in Cairo,

Membership
ership of the bank can be categorised into three:

All independent African states and African continental, regional and sub-regional financial and economic institutions.

African public and private banks; financial institutions and public as well as private investors.

International financial and scientific institutions and non-African banks and public / private investors.

Objectives:

To give direct credit to African exporters.

To act as intermediary between African exporters and non-African importers.

To provide insurance and guarantee services to participants in international trade.

To carry out research and provide associated services capable of creating an enabling environment for international trade in Africa.

FUNCTIONS

rpose of the Bank is to facilitate, promote and expand intra-African and extra-African To this end, the Bank's functions include:

Extending indirect credit to eligible African exporters in the form of pre-and post shipment export finance;

Extending indirect short-term credit (up to 12 months) and medium term credit (over one year up to seven years) by way of lines of credit to eligible trade finance intermediaries;

Promoting and financing intra-African trade and non-traditional African exports;

NEW SHOT 9 AI QUAD CAMERA

4) Financing export generative African imports of equipment, spare-parts and raw materials;
5) Providing risk-bearing facilities, such as the issuance and confirmation of letters of credit, guarantees (including country risk guarantees) and bill discounting facilities;
6) Providing insurance services, covering commercial and non-commercial risks associated with African exports; and
7) Providing support to payment arrangements in Africa and financing South trade.

The Bank was establish with an authorised share capital of USN750 million and has its membership and capital structure made up of three categories of shareholders as follows:

a. *Class 'A' Shareholders* consisting of African Governments, African Central Banks and Sub-regional financial institutions;

b. *Class 'B' Shareholders* comprising African public and private financial institutions; such as commercial banks, insurance companies, etc and the African public as well as financial investors; and

c. *Class 'C' Shareholders* comprising international financial institutions, and economic organisations and non-African States, banks, financial institutions and public and private investors.

THE BANK'S CAPITAL STRUCTURE

The Bank's authorised capital, when fully subscribed, is expected to be distributed among the three categories of Shareholders as follows:

* 35 percent for Class 'A'
* 40 percent for Class 'B' and
* 25 percent for Class 'C'

MULTILATERAL INVESTMENT GUARANTEE AGENCY (MIGA)

The agency was established in 1988, as a member of the *World Bank Group, MIGA* is to encourage the flow of foreign direct investment to and among developing member nations.

It does this by providing guarantee to foreign investors against political risk. The risk coverage of the agency is of four categories:

a. *Risk of loss* resulting from legislative or administrative actions and omissions of host government.
b. *Transfer risk* emanating from host country's policies on currency conversion

INFINIX HOT 9
AI QUAD CAMERA

and transfer.
Risk resulting from armed conflict or civil unrest.
Repudiation of contracts with investors by government.

NK FOR INTERNATIONAL SETTLEMENT (BIS)

s established in the year 1930 to act as arbiter in the settlement of transactions nating from the services of Central Banks and international oriented commercial ks. The need for the bank became apparent after the *World war 1* when it became that going back to gold standard was imperative. The bank was established to ken the reparation process as it affected *Germany*.

ectives:

BIS seeks to accomplish these objectives:
1. To assist Central Banks in the management of their external reserves.
2. To facilitate better understanding of international financial markets through research and statistical analysis.
3. To foster international monetary cooperation through regular and periodic meetings with member nations.

bank receives foreign exchange reserves from Central Banks and invests them in d money markets. It also receives deposits from *IMF* and provides such funds as t-term and medium-term credit to countries having balance of payments problems.

MULTIPLE -CHOICE QUESTIONS

Which member of the *World Bank Group* was established to encourage the flow of foreign direct investment to and among developing member nations and does this by providing guarantee to foreign investors against political risk.
(a) International Finance Corporation (IFC)
(b) Multilateral Investment Guarantee Agency (MIGA)
(c) International Bank for Reconstruction and Development (IBRD)
(d) Bank for International Settlement (BIS)

Which member of the *World Bank Group* was established in 1960 as a concessionary institution specifically to provide financial support to the less developed countries, which because of debt servicing costs cannot borrow on conventional terms.
(a) International Finance Corporation (IFC)

INFINIX HOT 9
AI QUAD CAMERA

INFINIX-HOT
AI QUAD CAMERA

(b) Multilateral Investment Guarantee Agency (MIGA)
(c) International Bank for Reconstruction and Development (IBRD)
(d) International Development Association (IDA)

..... was established in July 1956 as an affiliate of the World Bank to promote the growth of productive investment and to assist enterprises that will contribute to the economic development of its developing member countries.

(a) International Finance Corporation (IFC)
(b) Multilateral Investment Guarantee Agency (MIGA)
(c) International Bank for Reconstruction and Development (IBRD)
(d) International Development Association (IDA)

..... was to provide fund for reconstructing economies of member countries and for development purposes.

(a) International Finance Corporation (IFC)
(b) Multilateral Investment Guarantee Agency (MIGA)
(c) International Bank for Reconstruction and Development (IBRD)
(d) International Development Association (IDA)

Which agency was established to see to the solution of the balance of payment problems of member countries and ensure smooth international payment mechanism.

(a) International Finance Corporation (IFC)
(b) International Monetary Fund (IMF)
(c) International Bank for Reconstruction and Development (IBRD)
(d) International Development Association (IDA)